

Executive Analytics Capstone

Customer Churn — Decision Brief

Decision question: Which customer groups should a fictional subscription team contact first to reduce avoidable churn?

15	customers	46.7%	observed churn	■409.93	monthly revenue at risk	18.8	avg. tenure (months)
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Executive takeaway

Prioritize the 7 Month-to-Month customers with 3 or more recent support tickets. All 7 are churned in this small sample, representing ■409.93 in observed monthly recurring revenue among churned customers. Use the pattern to prioritize outreach, not to claim that contract type or support volume causes churn.

Five insights that affect a business decision

1. Month-to-Month is the clearest priority

7 of 15 customers are Month-to-Month and all 7 churned (100% observed churn). They account for all ■409.93 of observed monthly revenue risk.

2. Support demand is concentrated in the churned group

The Month-to-Month group averages 4.3 support tickets versus 1.5 for One Year and 0.5 for Two Year customers. This is an operational signal worth testing.

3. Basic customers show the highest subscription-level churn

Basic has 7 customers and 71.4% observed churn, compared with 50.0% for Pro and 0% for Enterprise. The sample is too small to generalize.

4. Payment method is a secondary prioritization signal

UPI shows 75% observed churn (3 of 4) and Debit Card 100% (2 of 2). These groups are small, so payment method should support—not drive—the contact list.

5. A transparent risk rule sharply separates this sample

A simple 0–6 score using contract type, support tickets, tenure and monthly charge places 7 customers in High risk; all 7 are churned. Eight customers are Low risk and none are churned.

Recommended decision

Audience: fictional subscription retention/support team. **Action:** contact Month-to-Month customers with 3+ support tickets first; review their unresolved issues and offer a targeted retention intervention. **Supporting metric:** observed churn and monthly recurring revenue at risk. **Next measurement:** compare contacted vs. non-contacted churn and ticket volume over the next observation period.

Impact range, assumptions, and limitations

Planning scenario: if a retention intervention prevented 25%–50% of the observed churn represented by the ■409.93 monthly revenue-at-risk pool, the gross monthly run-rate protected would be approximately ■102.48–■204.97. If retained for 12 months, that corresponds to roughly ■1,229.79–■2,459.58 of gross annualized run-rate. These are scenario ranges, not predicted outcomes.

Assumptions

- MonthlyCharges is treated as the recurring revenue measure.
- The scenario assumes the intervention affects a portion of the currently observed churn pool; no causal lift is estimated from this dataset.
- Annualized impact assumes retained customers continue at the same monthly charge for 12 months and ignores discounts, costs, expansion, and future churn.

Limitations

- Only 15 synthetic customers are present, so percentages can change dramatically with one customer.
- The data is observational; associations should not be interpreted as causal effects.
- The risk score is a transparent prioritization index, not a calibrated churn probability.
- No randomized retention experiment is available, so intervention effectiveness remains uncertain.
- The dataset covers one observation period and does not establish long-term retention behavior.

Recommended action plan

Priority	Who	Action	Measure next
1	Month-to-Month + 3+ tickets	Review open issues, resolve blockers, then offer a targeted retention option.	30/60-day churn + ticket count
2	UPI / Debit Card groups	Check whether payment friction or service issues are contributing to cancellations.	Payment failures + churn
3	Basic plan customers	Test onboarding/value communication and targeted support before cancellations.	Basic-plan retention
4	Low-risk contracted customers	Maintain normal service; avoid unnecessary retention spend.	Renewal/retention rate

Bottom line

The evidence supports a focused retention pilot rather than a broad intervention. Start with the small, clearly defined high-touch Month-to-Month group, measure the result, and expand only if the next observation period shows improvement.

Source: supplied Customer Churn dataset and Task 4 executive-capstone brief. Analysis is descriptive and intended for a fictional subscription decision.